

CommonBlock — State of Play

October 1, 2026 · working draft. This replaces the September 30 State of Play. It covers what's decided, what's still open, what needs real-world data, and the questions for counsel. It is written for advisors, counsel, funders and prospective board members. All figures are illustrative outputs of the CommonBlock financial model (version R5.1, available on request); nothing here is an offer of securities or legal, tax or investment advice.

1. Where things stand

The fund design, the resident stake, the payment rails and the company plan are worked out and tie together in one financial model. There is no operating fund yet, no committed capital and no counsel sign-off. CommonBlock is not yet incorporated; it will be organized as a public benefit corporation. The next phase is testing the design against real South Shore deals, real funders, a card partner and real legal advice.

Area	Status
Fund structure (\$5M community + \$5M PRI, buildings bought over two years, sold at year 10)	Designed and modeled
Resident share (35% of appreciation, 1,500 stakes per fund, half the PRI concession)	Decided
Neighborhood dividend (20% of net operating cash flow)	Decided; suspension rule not yet modeled
Who holds a stake (unit stakes in program buildings, lottery for the rest)	Direction decided; lottery rules open
Growth (one Chicago fund in \$10M stages; each new city its own fund; 40% first-loss for later stages)	Decided
Loan rates (today's: 7.5% permanent, 9.0% construction)	Decided
Wallet, Spend, Harvest and card-first checkout	Designed; card economics modeled with illustrative inputs, awaiting quotes from card-issuing banks; needs counsel and a partner
Owner buy-in advances	Designed; loss and collection assumptions are placeholders
Fees and company economics	Set to typical market terms (working assumptions); modeled; card-sensitive
Company startup capital (\$2.3M of equity in three milestone closes)	Decided; modeled; not yet raised
Leadership	Recruit an independent board; CEO question undecided
Legal and regulatory questions	Open; counsel not yet engaged
Pilot fund PRI (\$5M first-loss)	Not yet sourced

2. The base case in brief

One neighborhood fund in South Shore; buildings bought 40% at the first close, 40% in year 1 and 20% in year 2; all sold at year 10; 3% rent growth; exit cap 75 bp below going-in; today's loan rates (7.5% permanent, 9.0% construction); net of all fees.

- **Capital:** \$5M from about 1,465 community investors (average about \$3,400; \$500 minimum, \$20,000 cap) plus a \$5M philanthropic PRI that takes first loss and earns a capped 2%. The PRI commits and funds its full \$5M at the first close; neighbors invest in closings matched to acquisitions, after a minimum first closing held in escrow.
- **Assets:** about \$16.7M of buildings at about \$60,000 a door (about 278 apartments): 75% stabilized residential, 25% occupied mixed-use. Plus \$1.0M of improvement advances to owners of other buildings, reaching about \$21M of property (about 343 apartments). The portfolio is worth about \$28.5M at sale.
- **Community investors:** about 12.2% a year (IRR of their closings), about 2.9x their money. 11.3% if neighbors' capital were also raised at the start. About 15% before half the PRI concession and the dividend go to residents.
- **Granted-stake households:** 1,500 per fund: about 278 in fund buildings, about 343 in buy-in buildings, about 879 by lottery. On average about \$4,500 per stake over the hold (about \$450 a year): about \$2,400 of appreciation, about \$1,800 of PRI concession, about \$370 of dividend. Lottery stakes go to one household; unit stakes are shared across whoever lives in the apartment over the hold, and the amount paid at the sale goes to whoever lives there at year 10.
- **Neighborhood dividend:** about \$1.1M over the hold, paid in Spend to about 2,965 stakeholder households (granted plus investors): about \$37 a household a year on average, rising to about \$69 by year 10. (The model counts investors and granted holders separately; a household that is both is paid once.) CommonBlock adds 25% of its card net revenue (about \$6 a household a year by year 10).
- **Protection:** the PRI absorbs roughly the first 30% fall in portfolio value before community investors lose capital.
- **CommonBlock per fund:** fees from operations, plus about \$50K of promote and \$290K of disposition fee at the sale.
- **Growth by geography:** neighborhoods are the unit people buy into, but each one doesn't need its own fund. Chicago runs one South Side fund that grows in \$10M stages as it adds neighborhoods, and each new city starts its own fund. The pilot and each new city launch with the full 50% first-loss (\$5M on \$10M). Later stages carry 40% (\$4M on \$10M): a 24% cushion, which still covers a fall from \$60,000 to about \$46,000 a door, roughly where distressed South Shore buildings have sold. That cuts the first-loss needed by year 10 from \$130M to \$108M, and lets funders re-invest in a vehicle they know. A later stage at 40% returns about 11.4% to community investors and about \$412 a year per stake (at 30%: 10.8% and \$374, with an 18% cushion).
- **Company, year 10:** one new neighborhood a year for four years, then two a year, with new cities opening in years 5, 7 and 9: 16 neighborhoods (10 in Chicago and 6 in three other cities), 26 fund stages, about \$614M of property; about \$15.3M of revenue including about \$2.8M of card interchange; value about \$30.4M (about \$15.4M with no card revenue); peak funding need about \$2.3M, covered by \$2.3M of equity raised in three milestone closes; the founder keeps about 68% (an option pool is 10%).

Company startup capital. CommonBlock needs about \$2.3M before its fees cover its costs. It plans to raise it as equity in three milestone closes. Valuations are assumed: \$6M, \$9M and \$13M pre-money; if the first close prices at \$4M, the founder keeps about 64%.

Close	When	Amount	Gate
1. Formation	Year 1 (now)	\$650K, from angels and neighbors through a Reg CF raise	Covers incorporation, counsel, the Reg A filing, the card partner and the app build
2. Pilot	Pilot fund's first close (year 2)	\$850K	PRI committed, Reg A qualified, first buildings bought
3. Card and second stage	Year 3	\$800K if the card is on track; up to about \$1.7M if not	A year of card data; first-loss committed for the second Chicago stage

3. Decisions settled

Decision	Why
Price \$60,000 a door (was \$73,000)	\$73,000 was the 2024 level for Chicago's lower-cost buildings, the kind that make up most of South Shore (IHS DePaul), inflated by speculative buying. In 2024 only 34 South Shore 5+ unit buildings sold (fewest since 2010) and 20 faced foreclosure suits, the most in a decade (IHS DePaul via The Real Deal, Feb 2026). Entry yield 9.43% on 2024 rents per apartment; brokers report South Side buildings trading near a 9% cap (Essex Realty Group). The yield drives the result: 11.7% for investors at 9.0%, 10.3% at the 2024 peak of 7.75%. The Cook County Assessor's 2021 valuation of South Side neighborhood apartments uses expenses of 50% of income, with cap rates that "account for expenses and real estate taxes," 10–16% vacancy, and cap rates of 9–10% for the better buildings (11–14% for the rest). Read that way, a typical building nets roughly \$6,000 a door, above the model's \$5,658; if property tax came on top of the 50%, it would be closer to \$4,700. To test against real deals.
Rent income stays as modeled; the Cook County Assessor is its source	Read as including property tax, the Assessor's 50% expense ratio for neighborhood apartments implies about \$6,000 a door, above the model's \$5,658; operating statements from real deals will confirm it.
Today's loan rates (7.5% permanent and refinance, 9.0% construction; were 6.85% and 8.0%)	Community Investment Corporation prices at Treasuries plus 2.5 points, about 7.56% in late September 2026. No rate cuts are assumed; lower rates are upside only (Section 4).
Rehab costs raised (vacant \$52,500 a door; storefront \$47,500)	The earlier \$25,000–30,000 was aggressive.
Deal mix: 75% stabilized / 25% occupied mixed-use	The model optimum across 186 runs: at realistic rehab costs heavy value-add lowers both investor returns and the resident pool.

Decision	Why
Storefront deals go to a separate venture	That venture is built for storefront businesses. Because the founder is involved in both, deals pass on arm's-length terms with an independent committee.
Staggered acquisitions and a staged raise	Buildings can't all be bought at close. The PRI funds its full \$5M at the first close, so the first-loss cushion is in place from day one; its idle cash earns interest (more than its capped 2%) and the fee runs on it from launch. Neighbors invest in closings, so their money doesn't sit idle (12.2% vs 11.3% if raised up front). Fees are charged on capital raised. Buildings bought in years 1–2 are modeled at year-0 prices and rents.
One community share: 35% of appreciation, everywhere	One number is easier to explain and administer.
1,500 granted stakes per fund, decoupled from the share	Fewer, larger stakes make the amount meaningful (about \$450 a year per stake vs about \$150 at 5,385). The pool stays at 35%.
Everyone in program buildings is included; the rest by lottery	Unit stakes for every apartment in fund and buy-in buildings: credits go to whoever lives there that quarter and stay with them. No lottery inside a building. Lottery stakes are personal, "win once"; each new fund runs a new lottery. Stakes start crediting the quarter a building closes.
Half the PRI concession goes to granted-stake households	It sends philanthropy's subsidy to the residents it is meant to serve while investors keep a market return. The "investors first to 13%" variant was rejected for steadier resident payouts.
Neighborhood dividend: 20% of net operating cash flow	Makes the stake felt before the sale, is certain where appreciation isn't, and puts steady volume on the local rails. Suspended when debt coverage or reserves fall short. CommonBlock co-funds it as a percentage of card revenue, never a fixed amount.
Tenant guardrails	Spend and Harvest can't pay rent at CommonBlock-managed buildings; stakes are separate from leases (no offsets, no reductions for arrears, never clawed back).
Service hours dropped	Tracking is prohibitive, as a stake criterion and in gamification.
Spend is dollar-backed but restricted to the network	A plain stablecoin couldn't keep Harvest money local. Spend leaves the network only by redemption (7% rate for Harvest money).
Checkout is card-first	A partner-issued virtual debit card taps at any register, applies Spend at allowlisted merchants up to each merchant's limit, and charges the rest to the resident's dollars. Card merchants are paid in dollars through their normal processor and pay normal card fees; network merchants also take Spend directly by scan-to-pay in the app at 1.25%. How the card partner settles Spend at card merchants is open.
Crypto swaps are a later phase	Not in the pilot; Wealth tokens are never swappable.

Decision	Why
Wealth tokens are credited on conservative marks (quarterly opinions less 8%, desk-appraisal calibration, no cap-rate credit until sale; never clawed back)	Overvaluation would transfer value from patient holders to early drawers.
Appraisal rule	Licensed appraisals for buying or selling property. Harvest uses the conservative mark. If the fund buys back an investor's interest before the sale, it pays the conservative mark. Granted stakes are never sold or redeemed early.
Harvest is a non-recourse advance (up to 60%, 4.5% local, 7% cash-out), funded by the fund itself and Harvest Notes	Lets residents use value now without selling the upside. Coverage at sale 3.0x (all buildings bought at once).
Prize-linked saving, sponsor-funded at \$60K a year	Rewards holding at no cost to residents or investors.
Market leverage, philanthropic match, no accredited money in the base case, mint for access, market fees, 90/10 sponsored/licensed, conservative rollout	Unchanged from the September 28 draft.
Growth by geography (one Chicago fund grows in \$10M stages; each new city starts its own fund; 50% first-loss at each launch, 40% for later stages)	Eases the binding constraint, first-loss money: about \$108M needed by year 10 instead of \$130M. Funders can re-invest in a vehicle they know: MacArthur made three \$5M PRIs to Chicago's Community Investment Corporation, whose PRIs now come mostly from banks investing for Community Reinvestment Act credit. The 24% cushion on a later stage still covers a fall to about \$46,000 a door.
Card program in the company model (1.2% interchange, 70% to CommonBlock, \$30 per card a year, 40% / 3% adoption, \$800 a month)	Interchange is the platform's real revenue; inputs other than the interchange rate are illustrative until card-issuing banks quote (Section 5).
Startup capital is equity, in three milestone closes (\$650K / \$850K / \$800K; no catalytic debt, no founder cash)	The company's main risk is card adoption, which drives about half its value. Debt would have to be repaid from cash that depends on the card; equity investors share that risk instead of collecting on it. Equity also comes from a different pool than foundation PRIs (angels, impact investors, family offices, neighbors through Reg CF), so it doesn't compete with the fund's first-loss ask. Foundation money goes entirely to fund first-loss. A family office may propose part of a close as debt; the plan doesn't count on it.
Leadership ask: recruit an independent board	Whether the founder is CEO is undecided.
Entity wording	"Will be organized as a public benefit corporation" until filed.

4. Disclosed downside

Scenario	Community investor return	Per granted stake a year
Base	12.2%	about \$450
2% rent growth	10.5%	about \$345
No exit-cap improvement	11.2%	about \$375
Both	9.4%	about \$275

Scenario	Community investor return	Per granted stake a year
30% fall in exit value	6.6% (Harvest coverage below 1x; the fund absorbs the shortfall)	about \$115
All capital raised up front	11.3%	about \$450
Entry yield 9.0% instead of 9.43%	11.7%	about \$435
Entry yield 7.75% (2024 peak)	10.3%	about \$405

Interest rates. The model uses today's lending rates: about 7.5% for permanent loans and 9% for construction loans. (Community Investment Corporation prices at Treasuries plus 2.5 points.) The Federal Reserve's September 2026 projections have its policy rate easing from 2028, from 4.1% in 2027 to 3.6% by 2029. If the fund's loans cost 1–1.5 points less than today's rates, community investor returns rise by roughly half a point to a point, to 12.7–13.0% (about \$475–490 a year per stake). Near-term forecasts don't assume that.

5. Decisions open

1. **Lottery rules.** Eligibility (residence, income, tenure), whether investing households can also hold a granted stake, and how results are verified. A granted stake now pays more than a small investor earns; the break-even ticket is about \$2,200.
2. **Dividend suspension rule.** Set the coverage cushion and reserve target, and add it to the model.
3. **Card economics and partner.** The card inputs other than the interchange rate await quotes from card-issuing banks; Michael is preparing outreach to those banks. One partner for custody, identity checks, card issuing and bank linking, ideally. Whether residents hold a dollar balance in the app or the partner settles from the bank next day.
4. **Card adoption.** Validate adoption and spending per household. At 20% adoption and \$500 a month the company is worth about \$16.4M and needs about \$3.2M: the third close grows to about \$1.7M, likely at a lower price, and the founder keeps about 58%. Nothing is owed. At 60% and \$1,000, about \$45.2M. Card use has to be proven before the rollout speeds up.
5. **Leadership model.** Founder as CEO, or a hired CEO (about 5% and \$175K) with the founder as executive chair. Hiring raises the startup need to about \$3.5M.
6. **Raising the company's equity (\$2.3M) and sourcing first-loss money.** The equity comes from angels, impact investors, family offices and neighbors through Reg CF, not the foundations that fund first-loss. First-loss is still the binding constraint: \$5M for the pilot and for each new city's launch, and \$4M for each later \$10M stage of a fund with a track record, committed at each close. About \$108M by year 10.
7. **Property management margin** (15% assumed; 11% → \$27.9M company value, 25% → \$36.5M).
8. **Buy-in credit placeholders** and owner appetite for a 20% share.
9. **Renovation at unit turnover** is one-sided (fixed 12% yield on cost).
10. **Valuation costs** (about \$26K a year per fund) may be light.
11. **Retirement / institutional exit.** Idea: sell in year 9 to catch the 2027 Opportunity Zone round, e.g. to an OZ fund via an UPREIT-style structure. Constraints: substantial improvement of existing buildings, contributed property generally doesn't qualify, pensions get no benefit, South Shore tracts must be designated. Not modeled.
12. **Programs from the earlier design:** business-lending sleeve, developer carve-out, right-of-first-refusal first look, owner token swap. Decide which come back.
13. **Entity:** Delaware or Illinois.

6. What needs real South Shore data

- Prices per door in real trades today, and the deal flow for stabilized and occupied mixed-use buildings.
- Operating costs and net income per door. The Cook County Assessor's 2021 valuation of South Side neighborhood apartments uses expenses of 50% of income, with cap rates that "account for expenses and

real estate taxes," 10–16% vacancy, and cap rates of 9–10% for the better buildings (11–14% for the rest). Read that way, a typical building nets roughly \$6,000 a door, above the model's \$5,658; if property tax came on top of the 50%, it would be closer to \$4,700. Real operating statements should confirm it.

- Loan quotes at today's rates (the model uses 7.5% permanent and 9.0% construction).
 - Rent growth and exit cap rates; the Obama Center re-rating is real but unproven.
 - Buy-in owner interest, loss rates and collection.
 - Opinion-versus-appraisal bias once valuation starts.
 - Property management costs at CommonBlock's scale.
 - Card adoption and spending, merchant uptake of the network, how much Spend merchants reinvest in Harvest Notes.
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7. Operating policies carried over

- Heavy rehab on occupied buildings goes through owner advances, not debt.
 - A tenant-initiated turnover gate with anti-inducement rules.
 - Subsidized buildings stay subsidized.
 - Spend and Harvest can never pay rent at a CommonBlock-managed building.
 - Licensed appraisals whenever property is bought or sold.
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8. Questions for counsel

- Securities: Reg A Tier 2 or Reg CF with a minimum first closing in escrow and rolling closings; the PRI's commitment at the first close; Wealth tokens and Harvest Notes; the Harvest desk; the company's own Reg CF raise and later equity closes.
 - Lending: non-recourse Harvest advances.
 - Payments: Spend as a restricted dollar-backed token under the 2025 federal stablecoin law vs prepaid-access rules; money transmission; card-program merchant restrictions; split-tender disclosures; interchange revenue share.
 - Stakes and the lottery: unit stakes; lottery and sweepstakes law; tax treatment of the grant, credits, dividend and advances; voucher and benefit eligibility; transferability.
 - Prize-linked saving and gambling law.
 - Philanthropy: PRI qualification; sending half the concession to granted households; private benefit; management fee on PRI capital; \$4958.
 - The Trust: UBTI on the debt-financed share; profits interests in OZ funds and SPVs.
 - Opportunity Zones: the 2027 round; QOF structure; a year-9 sale.
 - Related parties: property management, fund fees, deals passed to the storefront venture.
 - Public benefit corporation form and benefit reporting.
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9. Next steps

1. Share the refreshed white paper, deck and site with prospective funders, board members and advisors.
2. Engage securities, payments and tax counsel.
3. Line up the pilot fund's \$5M PRI (committed at the first close) and open the company's first equity close (\$650K, through Reg CF).
4. Get quotes from card-issuing banks (outreach in preparation), choose a card and stablecoin partner, and test adoption assumptions.
5. Test the model against real South Shore deals at today's prices.
6. Recruit an independent board.
7. Design the lottery and unit-stake rules with residents and counsel.

10. Sources

- Institute for Housing Studies at DePaul University data, as reported in [The Real Deal](#), “[How out-of-state investors drove up distress in Chicago’s hottest multifamily market](#),” February 2026: South Shore sales of 5+ unit buildings (2011–2024), 2024 foreclosure suits, per-unit prices for Chicago’s lower-cost buildings, and South Side rents and renter incomes.
- [Essex Realty Group](#), “[Understanding the Chicago South Side Multifamily Market in 2026](#)”: South Side apartment buildings trading near a 9% cap rate.
- [Chicago Metropolitan Agency for Planning](#), [South Shore Local Housing Profile, April 2025](#) (American Community Survey 2019–2023 five-year estimates): South Shore occupied households.
- [Federal Reserve Board](#), [Regulation II interchange fee data for 2023](#): exempt debit transactions (small issuers and prepaid cards) averaged 1.21% of transaction value; 1.12% excluding prepaid.
- [Internal Revenue Service](#), [IR-2026-45, April 2026](#): Opportunity Zones made permanent; new ten-year designations take effect January 1, 2027.
- [Cook County Assessor](#), [2021 Hyde Park Township commercial valuation narrative](#): expense ratio, vacancy and cap rates for neighborhood apartments.
- [Community Investment Corporation](#), [multifamily summary term sheet \(2024\)](#), and [FRED](#), [5-year Treasury yield](#): loan pricing at Treasuries plus 2.5 points (about 7.56% in late September 2026).
- [FRED Blog](#), “[FOMC Summary of Economic Projections, September 2026](#)”: median policy rate 4.1% at end-2026 and end-2027, 3.9% in 2028, 3.6% in 2029.
- [MacArthur Foundation](#), [grants to Community Investment Corporation](#) and [CIC FY2025 Performance and Credit Review](#): repeat \$5M PRIs (2010, 2011, 2013) and bank PRIs.